Ershad, and the Maldives was under the rule of strongman Maumoon Abdul Gayoom. Sri Lanka, which after India had perhaps the strongest democratic institutions in the region, had witnessed the passage of a discriminatory Constitution, a three-decade long civil war, further rebellion in the south, and the regular assassination of political leaders between the 1970s and mid-1990s. But over the 1990s and 2000s, democratic rule and practices deepened in all these countries, although not always at the same pace and with occasional reversals. In time, Bhutan evolved into a constitutional monarchy. Nepal went further and became a republic with the abolition of its monarchy. Bangladesh eased into a partial democracy dominated by two major parties after the 1990s, despite concerns about the fairness of the electoral process. The Maldives saw democratic rule for the first time followed by a swift reversal into authoritarianism under Gayoom's half-brother Abdulla Yameen. Subsequent multi-party elections once again reversed this trend. In Sri Lanka, after the end of the civil war, the country has witnessed a number of peaceful transitions of power.

Two, while the region's ongoing political trajectory has been mostly positive, it has been accompanied by new challenges. India's neighbours are sovereign states and naturally sensitive to their sovereignty. As such, there are limitations as to what India can do in effecting preferable outcomes. The sovereignty and democratization of India's neighbours has in recent years been compounded by rising nationalism, sometimes directed against the region's big power: India. In Nepal, political elites often perceive India to be unnecessarily interventionist and supportive of certain factions. [7] Islamist groups in Bangladesh and their political affiliates similarly seek to resist the country's secularization and perceive India as supportive of such efforts. Even in Bhutan, opposition parties and bloggers sometimes speak out critically against the long-standing relationship with India. In Sri Lanka and the Maldives, authoritarian and democratically-elected leaders past and present have occasionally adopted positions that go against Indian preferences. New circumstances have also changed the orientations of various political actors in the neighbourhood: India often cooperated or engaged with the monarchy in Nepal in the 1950s, Tamil groups in Sri